

SLC Agricola

Crop Update: Soy Harvest Progressing Smoothly, 4Q Corn Sales Could Surprise on Strength, but Cash Flow to Remain Muted in the Short Term

Neutral

SLCE3.SA, SLCE3 BZ
Price (23 Jan 26): R\$16.00

We met with SLC's IR team for a quarterly update. The company remains on track to deliver R\$2.6bn in adjusted EBITDA for FY2025, consistent with prior communications and market consensus. Operational execution continues to be solid, with soybean harvesting progressing on schedule and yields potentially coming in slightly above expectations. In the near term, investor focus should remain on the pace of harvesting activities, as this will determine the timing of 2nd crop corn planting in February. Looking further ahead, the increasing probability of an El Niño pattern from Q3 onwards could become a catalyst for soy prices, should it negatively impact volumes, but at this point, it seems too early to say.

- **Total volumes sold are set to grow DD y/y in Q4, led by a standout corn crop.** Total volumes are expected to grow around 30% y/y, with corn production nearly doubling thanks to strong productivity and robust demand from the corn ethanol segment, which is paying a MSD % y/y price premium. Soybean and cotton lint volumes sold could be somewhat flat y/y.
- **That said, the record soybean crop is likely to pressure prices in the short term.** SLC sees this year's soybean crop closer to Agroconsult's 182 mtons estimate than CONAB's 176 mtons (*chart below*), which should keep prices under pressure in the short-term. On the cotton front, with global demand for cotton still subdued and no clear catalysts for price recovery, SLC reiterated that it is planning on expanding first-crop cotton area and will instead focus on second-crop cotton, which typically has lower costs.
- **For the 2026/27 season, Brazilian soybean planted area could remain flattish y/y,** as margin compression limits farmers' appetite for expansion - an adjustment that could help absorb the excess stocks expected to build up this year. Additionally, weather remains a critical factor: the probability of El Niño developing from August onwards exceeds 70% and could pose risks to productivity. These two factors together might serve as catalysts for soybean prices, though it remains too early to say.
- **Leverage is set to finish 2025 below 2x, but cash generation remains a challenge.** Thanks to the JV capital injection in December, SLC could report leverage below 2x in 4Q25. However, financial expenses continue to weigh on results, and cash generation is expected to remain negative through 2026, with improvement only from 2027. Key company estimates for 2026 include around R\$1bn in capex, R\$2.9bn in adj. EBITDA, R\$500mn in lease expenses, R\$800mn in interest, and R\$200mn in taxes.

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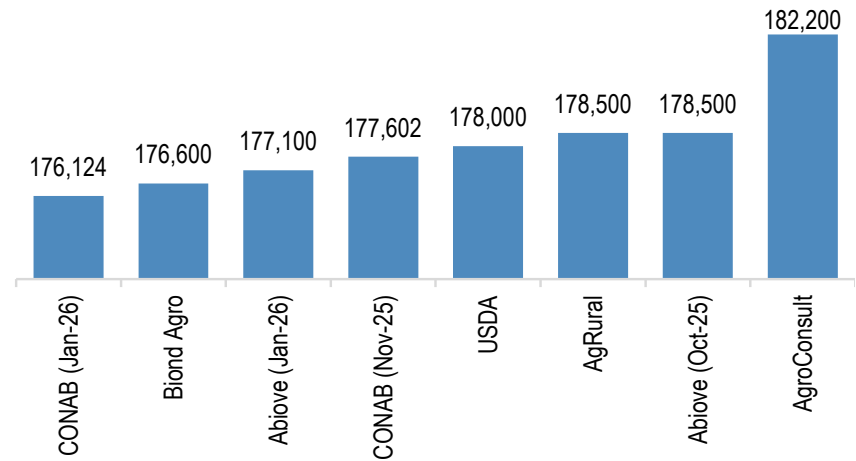
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Figure 1: Most Institutes & Consultancy Groups forecast ~180 mtons of Soybean Production in 2025/26



Source: J.P. Morgan.

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SLC Agricola (SLCE3.SA, SLCE3 BZ) Price Chart



Date	Rating	Price (R\$)	Price Target (R\$)
10-Mar-23	OW	21.36	26.5
19-May-23	OW	17.71	23.5
22-Nov-23	OW	18.89	22.5
15-Feb-24	OW	18.57	24
15-Jul-24	OW	19.11	26
29-Sep-24	N	18.66	23
01-Apr-25	N	18.60	22
30-Nov-25	N	16.54	19

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 27, 2007. All share prices are as of market close on the previous business day.

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